

Table 7.1. 2020 Tax brackets for single filers

Federal tax rate	Tax bracket
10%	\$0-\$9,875
12%	\$9,876-\$40,125
22%	\$40,126-\$85,525
24%	\$85,526-\$163,300
32%	\$163,301-\$207,350
35%	\$207,351-\$518,400
37%	\$518,401 +

Let's figure out what Table 7.1 means. The numbers on the right represent your taxable income in a year, and the tax rates on the left represent the percentage that will be taken out of your paycheck. This next part is very important: the money you make is not all taxed at a single rate.

This is best illustrated with an example. Let's say you have a taxable income of \$90,000. Although this puts you into the 24% bracket, you do not simply take 24% of your income and pay it in taxes. Instead, your income is taxed at multiple rates.